government so much that its finances suffered and electricity utilities were rendered bankrupt. Yet, the farmers continued to get subsidized or, in many states, free electricity.

Input subsidies do not benefit farmers. The cost of production of most farm produce in India is higher than the global cost despite free and subsidized inputs. The benefit to farmers of free and subsidized prices gets lost in overapplication of inputs, inefficient application of inputs and artificially higher cost of production of such inputs.

## *MSPs Have Not Helped Either*

Taking care of input costs is one side of the farmers' income equation. The other side is prices. The government established the system of regulated markets where farmers were expected to get remunerative prices of their produce brought into the APMCs and sold in a system of transparent bidding.

Agricultural produce is bulky, perishable and usually non-standard. All these factors ensured that farmers did not get a good price for their produce even in the regulated markets. In any case, most of them, being small and marginal farmers, have no ability to sell produce at the time when the prices are good for them. Rather, most farmers tend to offload their produce in mandis or elsewhere immediately after harvest and end up getting very low prices as the demand-supply position at the time of harvesting gets acutely distorted.

Considering this reality, the government came up with the idea of assuring a minimum price for agricultural produce. It stood as a guarantor that farmers' produce would be bought at a minimum price declared beforehand if market prices fall lower than this price.

However, to really succeed, the MSP system required the government to have the ability to buy the entire surplus quantity of agricultural produce, store it for the time required, and then either export it or deliver it at